

Case Number:
NAIH-373-31/2023.

Subject:
Decision

DECISION

The National Authority for Data Protection and Freedom of Information (hereinafter: Authority) makes the following decisions in the official data protection authority procedure initiated ex officio to examine the legality of the data processing practices of Pitagorasz Oktatási Stúdió Kft. (Company Registration No. 01-09-309194; hereinafter: Client1) regarding market research and direct marketing purposes – in which the Authority involved [...] Zrt. (hereinafter: Client2) as a client:

1.
The Authority establishes that Client1 did not prove the existence of a legitimate interest regarding the processing of the name and address data of minor data subjects requested from the personal data and address register; therefore, Client1 processed the requested personal data without a legal basis, thereby violating the principle of accountability under Article 5(2) of Regulation (EU) 2016/679 (hereinafter: General Data Protection Regulation or GDPR) concerning the protection of natural persons in relation to the processing of personal data and the free movement of such data, as well as Article 6(1) of the GDPR.
2.
The Authority establishes that Client1 violated the principle of purpose limitation under Article 5(1)(b) of the General Data Protection Regulation during the data processing related to postal inquiries made in 2020 and 2021.
3.
The Authority establishes that regarding the processing of name and address data requested by Client1 in 2020 and 2021, the data processing violated the principle of fair processing under Article 5(1)(a) of the General Data Protection Regulation concerning the purpose of data processing.
4.
The Authority establishes that in connection with the data processing related to Client1's postal inquiries, Client1 violated Article 12(1) and the provisions of Article 14(1)(a) and (c), as well as Article 14(2)(b), (c), and (e) of the General Data Protection Regulation.
5.
The Authority establishes that Client1 violated Article 6(1) of the GDPR concerning the data processing related to newsletter sending.
6.
The Authority established that regarding Client1's data processing related to newsletter sending, Client1 violated Article 12(1) of the GDPR, as well as points (c) and (e) of Article 13(1) and point (d) of Article 13(2).
7.
The Authority established that by not deleting the personal data of data subjects who withdrew their subscriptions despite their withdrawal of consent, Client1 violates point (b) of Article 17(1) of the GDPR.
8.
The Authority instructs Client1, based on point (d) of Article 58(2) of the GDPR, to document and permanently delete the data of those data subjects stored in its database who unsubscribed from the newsletter, as well as those for whom the newsletter sending was unsuccessful.
9.
Due to the above data protection violations, the Authority obliges Client1 to pay a data protection fine of 500,000 HUF, that is, five hundred thousand forints.

10. The Authority terminates the seizure of databases ordered in its decisions NAIH-8386-1/2022. and NAIH-8386-2/2022.

11. The Authority terminates the ex officio initiated data protection authority procedure against Client2.

Client1 must provide written proof of compliance with the obligation set out in point 8 above within 30 days following the expiration of the deadline for legal remedies against this decision, along with supporting evidence, to the Authority. According to Section 61(6) of Act CXII of 2011 on the Right to Informational Self-Determination and Freedom of Information (hereinafter: Infotv.), the data affected by the disputed data processing cannot be deleted or destroyed until the expiration of the deadline for initiating legal proceedings against the decision, or until the court's final decision in the case of an administrative lawsuit.

The fine specified in point 9 above must be paid within 30 days from the date this decision becomes final to the Authority's centralized revenue collection account (10032000-01040425-00000000 Centralized Collection Account IBAN: HU83 1003 2000 0104 0425 0000 0000). When transferring the amount, reference must be made to "NAIH-373/2023 FINE." If Client1 fails to meet the deadline for paying the fine, it is obliged to pay late fees. The amount of the late fee corresponds to the statutory interest, which is equal to the central bank base rate valid on the first day of the calendar half-year affected by the delay.

In case of non-payment of the fine and late fee, or failure to comply with the obligation in point 8 above, the Authority orders the enforcement of the decision.

No procedural costs were incurred in the procedure.

There is no administrative remedy against this decision, but it can be contested in an administrative lawsuit within 30 days from the notification to the Metropolitan Court of Budapest. The lawsuit must be submitted electronically to the Authority, which will forward it along with the case documents to the court. A request for a hearing must be indicated in the lawsuit. For those not fully exempt from personal fees, the fee for the administrative lawsuit is 30,000 HUF, and the case is subject to the fee exemption. Legal representation is mandatory in proceedings before the Metropolitan Court of Budapest.

The Authority publishes this decision on its website, indicating Client1's identification data.

1 The form for initiating the administrative lawsuit is the NAIH_K01 form: NAIH_K01 form (2019.09.16). The form can be filled out using the general form filling program (ÁNYK program).

<https://www.naih.hu/kozig-hatarozat-birosagi-felulvizsgalata>

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INDOKO LÁS

I. Procedure and Clarification of Facts

1. Background Cases

(1)

The Authority received several reports concerning the data processing activities of Client1, which involved direct mail market research and direct marketing communications addressed to minor children and their legal representatives (the recipient was named on the correspondence as: X.Y. legal representative). The complainants objected that Client1 sent advertising communications by mail to minor children and their legal representatives, which deviated from the stated market research purpose. They further stated that the communications contained a market research questionnaire that could not be filled out at all, or only online. According to a report received by the Authority on September 5, 2022, registered under number NAIH-7276-1/2022, the letter sent to the complainant included a market research questionnaire; however, the complainant argued that the communication was misleading as it was directed towards direct marketing purposes, and that "The Information from the Educational Authority regarding admissions..." was printed on the envelope, which also created the impression that the recipient had received an official notification.

(2)

Based on the reports, several investigations were initiated against Client1, during which it was established that the legality of Client1's data processing practices (legal basis, information, storage of personal data, ensuring the exercise of rights by data subjects, purpose of data processing, etc.) was not sufficiently clarified.

(3)

For this reason, the Authority initiated an official data protection authority procedure to examine the legality of Client1's market research and direct marketing data processing practices.

(4)

According to Section 71 (2) of the Infotv., the Authority utilized the facts and other evidence contained in the following documents, which were generated in previous investigation procedures related to Client1:

(i)

A complaint from a data subject registered under number NAIH/2020/6537/1 by the Authority.

(ii)

A response letter and its attachments containing statements from Client1, registered under number NAIH-172-1/2021 by the Authority.

(iii)

A complaint from a data subject registered under number NAIH-5200-1/2021.

(iv)

A complaint from a data subject registered under number NAIH-6956-1/2021.

(v)

A complaint from a data subject registered under number NAIH-7276-1/2022.

(5)

In its response dated January 4, 2021, registered under number NAIH-172-1/2021, Client1 made the following statements relevant to the decision and attached documents:

(i)

Based on its statement and the attached documents, Client1 requested name and address data from the Personal Registration and Administrative Department of the Ministry of Interior (hereinafter: BM) as part of a request for data provision from the personal data and address registry. According to the data request submitted by Client1 on February 17, 2020, the data request covered the name and address data of citizens born between June 1, 2006, and August 31, 2011, concerning the municipalities specified by Client1 later.

According to the request, the purpose of data use was market research related to preparatory courses organized by Client1 for admissions.

In its decision dated February 24, 2020, under number BMSZAE/773-2/2020, the BM granted Client1's request for data provision and authorized the...

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citizens
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provision. According to the decision, "The scope of the data affected by the permit includes the name and address data of minor citizens sorted based on the criteria specified in the application (age – born between June 1, 2006, and August 31, 2011 – and municipality name)." Furthermore, "The applicant is also required to indicate the text 'legal representative' after the family and given name data of the respective minor on the postal envelope."

(ii)

The data provision was carried out by the Ministry of the Interior (BM) on an electronic data carrier. Based on the receipt protocol prepared at the time of data transfer – a copy of which Client1 attached to their response letter – the number of records transferred was: 33,185.

(iii)

Duration of data processing: according to the BM's decision, the provided data can be used for 6 months from the date of the last reconciliation. According to Client1's statement, reconciliation with the BM took place on March 11, 2020, at the time of data transfer, and then upon mailing the letters, on August 17, 2020, the transferred data was destroyed, as the purpose of the data request was fulfilled with the mailing of the letters.

(iv)

The source of the data was communicated to the parents at the bottom of the letters, as well as that the use of the data was terminated with the forwarding of the letter.

(v)

In response to the Authority's question regarding the purpose and legal basis for processing the data, Client1 stated that the data was requested for the purpose of initiating market research activities related to the preparatory course for admission, and since the BM released the data, the release of the data was not restricted by the legal representative of the data subject.

(vi)

The transferred data was personally received by Client1's representative on a USB drive, and it was kept in their personal safe until the mailing of the letters and the destruction of the data. Since Client1 has no other employees, apart from the managing director, no one else had access to the data.

(vii)

No data transfer occurred.

(viii)

In response to the Authority's question regarding when and how information would be provided to the data subjects and the legal representatives returning the enrollment form, Client1 stated that no one returned the form mentioned in the letter, as it – as indicated in the letter – was to be used during enrollment, requiring personal appearance and on-site tuition fee payment. Furthermore, no postal address was provided for sending, thus the tuition fee could only be paid in person, as no bank account number was communicated.

2.

The current data protection authority procedure

(6)

The Authority notified Client1 in its decision NAIH-8386-1/2022 about the data protection authority procedure and called for a statement to clarify the facts, and simultaneously reserved the databases containing personal data managed by Client1, as well as the log files related to the operation of these databases.

(7)

In its decision NAIH-8386-2/2023, in addition to notifying about the data protection authority procedure, the Authority involved Client2 in the procedure as a party, as their rights and legitimate interests are directly affected by the case, and called for a statement to clarify the facts.

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2.1 In the current data protection authority procedure, regarding the questions contained in the Authority's inquiries, Client1 made the following statements relevant to the decision:

(8) The decision of the Ministry of the Interior (BM) allowing group data provision is a type of framework authorization, based on which the specific data requests concerning the designated municipalities were made later on.

(9) In response to the Authority's question as to why the BM categorized its data provision by age groups and why it delineated the ages according to what was indicated in the receipt protocol, Client1 stated that the previously referenced BM authorization decision No. BMSZAE/773-2/2020 pertained to individuals born between June 1, 2006, and August 31, 2011, but since only those likely to be eighth

graders, sixth graders, and fourth graders were significant for Client1—because the admission opportunities could affect them—Client1 narrowed down the birth date intervals when submitting the list of municipalities. Those born between June 1, 2006, and April 30, 2007, were likely eighth graders at that time, those born between June 1, 2008, and April 30, 2009, were likely sixth graders, and those born between June 1, 2010, and April 30, 2011, were likely fourth graders. The BM divided the database into parts—at Client1's request—because the different age groups did not receive exactly the same letter.

(10) In response to the Authority's question regarding the meaning of the phrase "we requested it by random selection" in the letter sent to the legal representatives of the children in August 2020, Client1 stated that there is no information from which they could know what grade the given individual is in, meaning that a presumed eighth grader could also be a seventh or ninth grader.

(11) The data issued based on the BM's authorization decision included the name and an address suitable for mailing. The data were destroyed after the letters were mailed, were not transferred to anyone, and were not used again, which was also communicated to the affected individuals in the letter sent to them, in addition to the fact that the data processing information can be found on the website www.pitagorasz.hu.

(12) The purpose of this market research is to assess Client1's preparatory course opportunities for admissions and to evaluate parental needs.

(13) In response to the Authority's call to demonstrate its market research activity to prove the existence of the market research purpose, and to state whether a research plan was prepared, and if so, to attach a copy of it, Client1 made the following statements: Client1 is a family business, and decisions related to the company are therefore made "within the family." According to their statement, it would not be realistic for them to prepare a research plan, notes, or minutes regarding these decisions. Since they have no legal obligation to do so, they did not prepare a research plan, nor a market research study. They discussed the results among themselves and continued their work based on that. However, they did prepare a market research data processing plan, of which the affected individuals were informed in the following manner in the sent postal letter:

"Dear Parent!

This information was prepared for you by Pitagorasz Educational Studio Ltd.

Our registered office: 1028 Budapest, Szilágyi Erzsébet Street 30.

We inform you that the source of your data is the Personal Records and Administrative Department of the Ministry of the Interior.

We inform you that the data used are not stored, are not forwarded, and after the letter is mailed—by the time you receive it—they have already been deleted."

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The purpose of this market research is to assess the admission preparatory course opportunities of Pitagoras Educational Studio Ltd. and to understand parental needs.

The legal basis for data processing: Section 3 (1) d) of Act CXIX of 1995 on the handling of name and address data for research and direct business acquisition purposes. The data processing declaration of Pitagoras Educational Studio Ltd. can be viewed at www.pitagorasz.hu.

(14) According to Client1, the legal basis for data processing is Section 3 (1) d) of Act CXIX of 1995 on the handling of name and address data for research and direct business acquisition purposes.

In connection with this previous statement, Client1 later declared that the legal basis for the temporary handling of data obtained from the Ministry of the Interior (BM) is Article 6 (1) f) of the General Data Protection Regulation. Client1's legitimate interest is market research, as market research provides the information necessary to organize admission preparatory courses in accordance with parental expectations, such as which educational form is the most preferred and what content expectations parents have regarding the preparatory courses. As a result of the market research, Client1 can develop an effective content structure and curriculum.

According to Client1's statement, the legal basis for data processing was incorrectly stated in the letter sent to the data subjects, which contained the information described in point (13), as it actually pertains to legitimate interest. The error, according to their statement, was caused by the legal basis for data use specified in the BM's decision approving the data request.

(15) According to Client1's statement, no legitimate interest assessment study was conducted, but based on their consideration, they concluded that "it is more appropriate to examine this broadly than to risk such work, energy, organization, and finances that would not be favorably received by parents. Based on a new concept, the development of new course materials, as well as its video and IT background, requires a minimum of 900-1000 hours of teaching and IT work, which we had to perform from our own resources alongside our usual daily operational tasks."

According to Client1's statement, their legitimate interest is to thoroughly inform themselves before carrying out this work.

(16) Client1 submitted data requests to the BM after March 11, 2020, in both 2021 and 2022, which were granted by the BM in its decisions BMSZAE/537-1/2021 and BMSZAE/617-1/2022.

(17) Based on the BM's decision BMSZAE/617-1/2022, Client1 received 29,003 records on an electronic data carrier with a receipt protocol. These individuals were contacted with the market research letter.

(18) The name and address data requested from the BM were destroyed after mailing in all cases, thus personal data processing does not occur in connection with this after mailing.

(19) The legal representatives of different age groups are contacted with different market research postal letters. One side of the letter contains the 4 questions with which the data subjects were approached. The questionnaire could be filled out online, practically anonymously, but respondents also had the option to return the questionnaire by mail, which only a few chose to do.

Client1 destroyed the received letters, and the answers to the questions were processed and considered. No data appeared on the returned questionnaires, only the selected answers, thus according to Client1's statement, they did not have access to any data of the submitters.

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(20) The digital questionnaire is continuously available at the top of the websites www.nyolcadikosok.hu, www.hatodikosok.hu, and www.negyedikesek.hu, as indicated on the questionnaires sent by mail for each age group. To fill out the questionnaire, it is only necessary to provide an email address, which is a requirement of the mailing system, but it can also be a fictitious address, as the answers provided on the questionnaire are essential, while the respondent's data is not, as stated on the online questionnaire. A total of 430 people completed the questionnaire.

(21) The mailing of the letters is carried out by creating label stickers from the data received from the Ministry of Interior (BM), which are then affixed to envelopes, and the letters are sent as registered postal items. A postal letter was sent to each of the address data received from the BM.

(22) In the autumn of 2020, as a result of the Covid pandemic, a change in direction was necessary; therefore, Client1 decided to conduct a comprehensive market research to understand parents' views on acceptable methods for preparatory courses for admissions. The results of the market research formed the basis for the following decisions:

Based on the responses to question 2 of the sent questionnaire (Would you prefer to choose an online preparatory course instead of or alongside the classroom preparatory course?), opportunities were provided for interested parties to follow classroom work online. They implemented a system whereby, in addition to attending traditional preparatory courses, students could review the classroom preparatory materials at home via video at any time.

Based on the responses to question 3 of the sent questionnaire (Do you think it would help your preparation if you could familiarize yourself with the admission tasks from previous years and watch their solutions and explanations on video?), an online platform was created that presents the admission tasks from previous years to interested parties via video.

Based on the responses to question 4 of the sent questionnaire (Do you consider it necessary to review the detailed curriculum of mathematics and Hungarian language from the previous school year within the framework of the preparatory course?), the idea of reviewing the mathematics and Hungarian language material from the previous school year during the preparatory sessions was rejected, as there was no significant demand for this from the parents.

(23) According to Client1's statement, approximately 29,500 letters were sent out in the 2020-2021 school year, and about 400 people completed the market research questionnaire. No enrollments took place in that school year because the advertised courses had to be canceled due to the Covid

pandemic. Nevertheless, the market research questionnaires were sent out, as they were independent of the preparatory courses for the current school year.

(24) In the 2021-2022 school year, approximately 25,000 letters were sent out, which were also submitted as a sample at the Authority's request, and about 500 people completed the market research questionnaire by mail and online. Approximately 650 people enrolled in the preparatory course that year. By the time the market research letters were sent out, about 540 had registered for the preparatory course advertised online since February, and after the sending of the market research letters—presumably unrelated—about 110 more registered in the last week.

(25) In the 2022-2023 school year, approximately 29,000 letters were sent out, which were also submitted as a sample at the Authority's request, and about 300 people completed the market research questionnaire by mail and online. Approximately 570 people enrolled in the preparatory course that year. By the time the market research letters were sent out, about 490 had registered for the preparatory course advertised online since February, and after the sending of the market research letters—presumably unrelated—about 80 more registered in the last week.

(26) Client1 also noted that the mailing of the market research questionnaires coincided almost exactly with the start dates of the advertised courses, barely preceding them, which confirms that the purpose was genuine market research and not the direct marketing objectives presumed by the reporters. The preparatory courses began in the first half of September; therefore, those

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The advertisement has already begun months in advance with online and social media promotions, as this is how it is possible to gather enough interest to launch the courses. According to Client1, initiating direct mail advertising for the recruitment of course students 8-10 days before the start would be a delayed action, especially since the sent letter only contains questions regarding parental needs, and lacks a purchase offer, incentives, enrollment options, etc.

(27) Client1 attached its data management information as an annex to its response letter dated January 18, 2023, which was also available on Client1's website. The scope of this "Data Management Declaration" is, according to the document, exclusively necessary for the use of the site, covering the data provided to Client1, with the aim of defining the principles and rules regarding the management of personal data and other data that has been provided on the website www.pitagorasz.hu and has become accessible to the operators of the website (Client1).

According to the provisions of the data management declaration, the legal basis for data management is the "User's voluntary consent for the use of their personal data provided during the use of the website, as well as Section 5 (1) of the Infotv. and Section 13/A (3) of Act CVIII of 2001." The purpose of data management is solely to facilitate communication with users and customers, and, where applicable, to provide certain services tailored to individual needs, as well as to send newsletters.

(28) Client1 further stated that it modified the data management information sent as described in the previous point during the authority procedure, of which it notified the Authority in its statement sent on March 21, 2023, and also sent a copy of it to the Authority, informing that the sent information is now also available on the website.

(29) Client1 also stated that due to the higher costs of market research, it did not commission an external market research company; instead, they conducted the market research themselves, allowing for a broader range of inquiries within their financial capabilities. The necessary developments have been completed recently, and this method of market research will not be used in the future.

(30) On the website www.pitagorasz.hu, there is an option to subscribe to the newsletter. In this case, the newsletter will be sent until the concerned individual unsubscribes. Each newsletter contains an unsubscribe link. Due to changes in the number of newsletter subscribers and occasional unsubscriptions, approximately 1,000 individuals are actually on the newsletter list in a given academic year. Client1 attached samples of the texts of newsletters sent in each academic year, totaling three newsletter samples.

(31) The legal basis for data management related to newsletter sending is that the concerned individual has given their consent to data management and subscribed to the newsletter with knowledge of the data management policy. The purpose of data management is to maintain communication through the newsletter, to remind parents of important education-related information

from time to time (e.g., the academic calendar, deadlines for application for admission, and the procedure for admission, etc.).

(32) Interested parties can only subscribe to the newsletter if they have read the data management policy and declared that they have understood and accepted it.

(33) Client1 joined the Webgalamb mailing system on February 1, 2013. The joining took place online, and no contract was concluded in connection with it; Client1 attached a copy of the email received from Webgalamb upon subscription. According to Client1's statement, it cannot fulfill the seizure ordered by the Authority in the prescribed manner because the Webgalamb mailing system runs on Client2's server, who are also its maintainers, where the voluntarily provided data of subscribers arrives and from where the periodic newsletters are initiated. With the purchase of the Webgalamb mailing software,

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According to the statement of Client1, they do not have access to these logs, only the user interface is visible.

(34) Client1 attached copies of their Excel databases, which contain the list of subscribers registered on the www.pitagorasz.hu website for the academic years 2019/2020, 2020/2021, and 2021/2022. The attached tables have saved and store the following data about the subscribers:

- e-mail address, IP address, time of subscription, status (active/bounced), ID (6-digit identifier for all subscribers), subscription URL, which grade the student is in from September 2019/2020/2021, and which part of Hungary they reside in.

In the last column of the tables for the 2019/2020 academic year, there is a column titled "I accept the data processing declaration," however, it is empty for all subscribers. For those who subscribed in the 2020/2021 and 2021/2022 academic years, the text "I have read and accept the data processing policy. In order for Pitagoras Educational Studio Ltd. to send newsletters for marketing purposes and to contact me for direct business acquisition: I consent." is present.

(35) According to Client1's statement, when a previously subscribed individual unsubscribes— which can be done via the unsubscribe link found in the newsletter— Client1 has no further action to take; the Webgalamb mailing system automatically deletes the subscriber immediately upon clicking the unsubscribe link, and the subscriber is permanently removed from the database in such a way that Client1 has no knowledge of the identity of the unsubscribing individual. If any subscriber experiences a failed email delivery, in this case, the Webgalamb system indicates this, and this data will be permanently deleted, thus removing it from the database.

(36) According to Client1's statement, contrary to what is stated in the data protection information, Client2 is not a data processor; they only store Client1's Webgalamb software and its data on their server.

(37) The Authority called upon the clients to make a statement based on Section 76 of Act CL of 2016 on General Administrative Procedure (hereinafter: Ákr.). Following the exercise of Client1's right to access documents, they stated that immediately after the initiation of the procedure, they reviewed their data protection policy and, as a result, had a new policy prepared. According to their statement, the practice of sending postal inquiries based on data requests from the Ministry of Interior has been discontinued since the Authority's procedure and will not be applied in the future.

2.2 The Authority called upon Client2 to make a statement in order to clarify the facts. Client2 stated the following regarding the questions contained in the Authority's inquiries:

(38) A contract was concluded with Client1 on February 1, 2013. The [...] Ltd. is not the legal predecessor of Client2, but to their knowledge, the previous contract was concluded online with Client1.

(39) Client2 is in contact with Client1 regarding the Webgalamb 8.1.0 software; the contract is concluded for every software version through online ordering and a contract made between remote parties. Most recently, a contract was concluded with Client1 for the Webgalamb WG8+ software on December 6, 2020, based on the order with registration number 593763 submitted at 12:59, a copy of which was attached to their statement. The related license agreement is available on Client2's website, which Client1 accepted in advance before use. Client2 also sent the relevant documents.

documents/contracts referenced, which were created by a contract made between remote parties with Client1, including the data processing information and the document titled General User Terms and Legal Statement.

(40) Client2 provides hosting services for the Webgalamb 8.1.0 online newsletter sending program, accessible at [...] for Client1, which is practically the same as providing web hosting. The activities carried out there are performed by Client1 themselves, and Client2 does not provide any data recording, data management, editing, or other support; Client2 does not have access to the system, nor do they know the source of the data stored there.

The basic operation of the Webgalamb software – similar to other newsletter editing programs – is that after deployment to any web server with the appropriate runtime parameters corresponding to the version number, the user of the program can create a subscription form with freely assembled parameters (e.g., name, email address, etc.) and subscription fields, as well as freely defined declaration requests (data processing declaration, acceptance of GTC, etc.). Subsequently, the subscription form created in this way can be integrated into the website, through which subscribers can be collected into the readership of the given subscription group. Letters, circulars, informational letters, and newsletters can be edited and sent out to readers in a scheduled and grouped manner. Numerous panels can be embedded in the newsletter, including data modification links, unsubscribe links, etc. The subscriber database, i.e., the group of readers, can be exported from and imported into other programs in CSV and XLS formats. The software operates as a single-user system protected by a password, which is known only to the program owner; the creators do not have remote or any other access to it. The subscription forms, the import and export of subscribers, the editing, management, and sending of newsletters are carried out exclusively by the program owner with exclusive access and authority.

(41) In the referenced system, Client1, or a subscriber of Client1, records and edits the data of the affected individuals/companies without the involvement of Client2, including personal data, and therefore Client2 does not have accurate information about this.

(42) The purchased software is handed over by Client2 with a completely empty database, meaning it does not contain personal data, similar to all market participants. The installation is typically carried out by the client themselves or by an expert they have commissioned. After successful installation, only the administrator (Client1) has access to the single-user product. Once logged in, they create the type of data being processed, the wording of their letters, collect, manage, and store the data, as well as the related statistics. Therefore, Client2 does not manage or know the personal data, as it is entered into the system independently of Client2 and is managed independently of Client2 by the administrator, i.e., Client1. Thus, all activities are performed by the administrator, and they also manage the data. During the use of the Webgalamb product (software/license) and newsletter sending service, Client2 is merely a data transmitter/intermediary – thus not qualifying as a data controller or data processor – and does not manage any personal data on behalf of their clients – thus Client1 – that pertains to Client1's clients/customers/newsletter subscribers. In relation to these individuals, Client1 is considered the data controller.

(43) On the website <https://pitagorasz.hu/> operated by Client1, there is also an option to subscribe to the newsletter, for which the following information and data must be provided: email address, indication of which grade the student will be in starting from September 2023, which part of Hungary they live in (indicating the county), and it is also mandatory to check the checkbox before the "I consent" declaration, which, based on this consent, allows the subscriber to agree that Client1 may send newsletters for marketing purposes and contact them for direct business acquisition.

(44) According to the statement of Client2, the data backup of the entire database of the web hosting available at the address pitagorasz.chr.hu, stored in their system by Client1, was prepared in accordance with the provisions of the Authority's decision, ensuring that it comprehensively includes the data stored in the system, with no modifications made. The database file is a complete backup (dumb) of the live database used by Client1, which includes the database structure, junction tables, any log files, and all its tables, columns, and rows. Client2 made the saved database available to the

Authority in a password-protected ZIP format via an online download option over an HTTPS SSL 3.1 secured channel.

3.

During the analysis of the saved database, the Authority observed the following facts:

(45) The database is of a so-called relational type, which means that the relationships (relations) between the individual tables can determine how the individual data points relate to each other, whether there is a logical connection between them, whether they are interconnected, or whether one data point depends on another. These interconnections are described by the logical framework of the database, known as its schema.

The schema of the received database—although the naming of the tables, column names, and the clear logical relationships between them would justify it—does not contain such logical relationships.

As a result, the actual internal relationships of the database and its mode of use cannot be fully mapped; they can only be inferred if the interconnections between the individual tables allow for it.

(46) The number of data tables in the saved database was greater than the number of "most important tables" named by Client2.

(47) The [...] data table was not included in Client2's enumeration. However, the table contains 583 rows, which, based on the table name and data content, includes unsuccessfully addressed email addresses and information related to unsuccessful dispatches. The key data found in the table includes:

- mail: the email address of the addressed user
- date: the date of the unsuccessful sending according to the logic of the table and the entire database
- error: the error code causing the unsuccessful email sending
- id: the unique identifier of the sent message or the addressed user
- send_date: the date and time of the message sending
- info_sub: relates to the error column and provides a brief description or some additional information about the cause of the error phenomenon, e.g., where the error value is "5", the info_sub field contains "queue too long."

(48) The [...] table, according to Client2's description, contains the subscription field data, i.e., the table that includes the questions posed to individuals wishing to subscribe on the interface providing the subscription.

There are a total of 196 unique values in it, which include, for example, the following questions:

- email address
- phone number
- parent's phone number
- first and last name
- what grade they are currently in and what grade they will be in from September
- place of birth
- language
- name of the settlement, postal code, street, house number, door, level
- name of the school, postal code
- name of the director
- PIR
- tax number
- where they teach
- Registration number E.V.

The table contains additional questions/data beyond those posed on the newsletter subscription interface found on Client1's websites, including customer satisfaction-related questions (e.g., "How did you manage to use this online option?", "What did you not like?", "What did you like?", "What else would help you in an online system?", "Did you miss a detailed review of the previous school year's material?", "How many points did you score in math?", "How many points did you score in Hungarian?", "What was this year's entrance exam like?", "Did you participate in the Pitagoras Online entrance preparation?", "Did you use the video tracking of the sessions on the pitagorasonline.hu

site?", "Comments or notes regarding the preparation?", "How well did the Pitagoras Studio preparation meet your expectations?"), as well as questions likely aimed at individuals approached as instructors (e.g., "Where do you teach?", "Registration number E.V.", "Tax number").

(49) The [...] table, according to Client2's description, contains "emails edited by the administrator (name, subject, wording, number of dispatches, number of readings, which group it is part of, date of creation)."

The table contains several columns that record date values, among which the "date" column has 2,074 rows since January 1, 2020, while the "datetime" column contains 4,058 rows.

(50) The [...] table is also mentioned in Client2's response, described as "the database of subscribed readers, containing the email address, the email address of the subscriber at the time of subscription, the dates of these, a unique session used for identifying the reader at the time of subscription in encrypted hash format, the group to which the subscriber requested their subscription, their ID, and whether their status is active or deleted."

The earliest subscription date is 2013.01.25 12:50:37. The total number of subscribers is 229,307.

(i)

Role and values of the Active column: The "active" column in the table can have 3 different values: 0, 1, and 2. Their distribution is as follows:

- Number of subscribers with "0" value: 2,723
- Number of subscribers with "1" value: 217,242
- Number of subscribers with "2" value: 9,342

The "0" and "1" can be interpreted as logical FALSE and TRUE values, which is the standard notation for whether a property or state exists or not. Thus, for example, it can indicate whether a user is active or not. However, the "2" value cannot be interpreted in this way.

The data of subscribers marked with "0", or inactive, can be accessed in the database with the same content as that of active subscribers, meaning that inactivity in this sense does not involve actual data deletion, so the email and IP addresses of these subscribers can still be found within this table.

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(ii) The values in the "status_log", "mod_log", "datum", "mdatum", and "ipdatum" columns: these columns contain various timestamps that denote different events related to users and their data.

The values in the "status_log" column contain more detailed information:

- date: date values specified in the format YYYY-MM-DD HH:MM:SS
- method: appears with two types of values, "subscribe" and "admin"
- status: which has a value of 1 in every filled cell

The "method" parameter with the value "subscribe" indicates that these rows store user subscriptions. There are several entries with the date "2023-05-25" among the "date" parameters, where the "method" parameter is "subscribe", suggesting that subscriptions were likely made on that day in the database.

(51) The Authority called upon Client1 to provide a statement regarding the following questions: What is the role of the "Active" column in its database table [...], what exactly does it denote, and under what conditions and how will the values "0", "1", and "2" be assigned to individual records in the database? According to Client1's statement, the value "0" means "inactive", for example, when one of their colleagues is temporarily not working with them, they are deactivated, thus they no longer receive emails. The value "1" means that the subscriber is "active", having subscribed based on their own decision and can receive newsletters. The value "2" means that the email bounced back due to some error (e.g., incorrect email address, technical error, etc.). This data will be permanently deleted.

(52) In response to the Authority's inquiry, Client1 stated that the requested data from the [...] table does not originate from newsletter subscriptions. The Webgalamb software also allows for the storage of data that does not come from newsletter subscriptions.

The phone number, parent's phone number, first and last name, and address data were collected from those parents whose children attend mathematics education, and this is necessary for billing purposes, as well as for justified telephone communication regarding their child.

The tax number, where they teach, registration number of the sole proprietor, place of birth, and address also do not originate from newsletter subscriptions, but pertain to those teacher colleagues

who conduct classes as sole proprietors within the framework of the Pitagorasz Studio and are paid based on their invoices. Their data is also stored in the Webgalamb system.

Thus, this data does not originate from newsletter subscriptions; their legal basis is the consent of the data subjects and in every case, it was for a specific purpose agreed upon with them.

The name and postal code of the school, and the name of the director, come from the publicly accessible database of the Educational Authority, and these are also stored in the Webgalamb system. Certain schools are occasionally notified via newsletter about specific programs.

4.

Facts established regarding the newsletter subscription on the Client1 website <https://pitagorasz.hu> (53) On December 12, 2022, the Authority conducted a test newsletter subscription on the subscription window available on Client1's above-mentioned page.

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i. The following data and information were mandatory for newsletter subscription:

email address; what grade the student will be in from September 2022; which part of Hungary they reside in; email address again.

ii. In addition to the above, the text "I have read and accept the data management policy. In order for Pitagoras Educational Studio Ltd. to send newsletters for marketing purposes and to contact me for direct business acquisition purposes:*" appears as a mandatory field, and although the "I consent" checkbox is not pre-checked, marking it, i.e., giving consent, is necessary to finalize the subscription.

iii. As soon as the data subject clicks the subscribe button, a confirmation message appears in the browser, and a message is also sent to the email address provided during registration, confirming that the subscription was successful.

****II.****

****Applicable Legal Provisions****

(54) According to Article 2(1) of the General Data Protection Regulation, the General Data Protection Regulation must be applied to the processing of personal data that is carried out in whole or in part by automated means, as well as to the non-automated processing of personal data that forms part of a filing system or is intended to form part of a filing system.

(55) According to Recital 32 of the General Data Protection Regulation, processing of personal data may only take place if the data subject has given their consent through a clear affirmative action, such as a written statement—this includes statements made electronically—or an oral declaration, indicating their voluntary, specific, informed, and unambiguous consent to the processing of personal data concerning them. Such consent is also deemed to be given if the data subject checks a box in relation to this during the viewing of a website, carries out technical settings in relation to the use of information society services, or any other statement or action that clearly indicates the data subject's consent to the intended processing of their personal data in that context. Silence, pre-checked boxes, or inaction do not constitute consent. Consent covers all processing activities carried out for the same purpose or purposes. If the processing serves multiple purposes, consent must be given for all processing purposes. If the data subject provides their consent following an electronic request, the request must be clear and concise, and it must not unnecessarily hinder the use of the service for which consent is requested.

(56) According to Recital 39 of the General Data Protection Regulation, the processing of personal data must be lawful and fair. It must be transparent to natural persons how their personal data is collected, used, accessed, or otherwise processed, as well as the extent to which their personal data is or will be processed. The principle of transparency requires that information and communication regarding the processing of personal data be easily accessible and understandable, and that it be expressed in clear and plain language. This principle particularly applies to informing data subjects about the identity of the data controller and the purposes of the processing, as well as to providing further information aimed at ensuring fair and transparent processing of the data subject's personal data, and to informing data subjects of their right to obtain confirmation and information regarding the data processed about them. A natural person is entitled to the processing of personal data concerning them.

It is necessary to inform about the interconnected risks, rules, guarantees, and rights, as well as how to exercise the rights entitled in relation to data processing. The specific purposes of personal data processing must be explicitly formulated and lawful, and they must be defined at the time of collecting the personal data. The personal data must be suitable and relevant for the purpose of processing, and the scope of the data must be limited to the minimum necessary for that purpose. Furthermore, it must be ensured that the storage of personal data is limited to the shortest possible duration. Personal data may only be processed if the purpose of processing cannot be reasonably achieved by other means. To ensure that the storage of personal data is limited to the necessary duration, the data controller establishes deletion or regular review deadlines. All reasonable steps must be taken to rectify or delete inaccurate personal data. Personal data must be processed in a manner that ensures an appropriate level of security and confidentiality, including measures to prevent unauthorized access to personal data and the tools used for processing personal data, as well as their unauthorized use.

(57) According to the preamble (47) of the General Data Protection Regulation, the data controller - including the data controller with whom personal data may be shared - or a legitimate interest of a third party may provide a legal basis for data processing, provided that the interests, fundamental rights, and freedoms of the data subject do not take precedence, considering the reasonable expectations of the data subject based on their relationship with the data controller. Such a legitimate interest may arise, for example, when there is a relevant and appropriate relationship between the data subject and the data controller, such as when the data subject is a client of the data controller or is employed by them. To determine the existence of a legitimate interest, it is essential to carefully examine, among other things, whether the data subject could reasonably expect that data processing could occur for that purpose at the time of collecting the personal data and in connection with it. The interests and fundamental rights of the data subject may take precedence over the interests of the data controller if the personal data is processed under circumstances where the data subjects do not expect further data processing. Since it is the legislator's task to define in legislation the legal basis on which public authorities may process personal data, a legal basis supporting the legitimate interest of the data controller cannot be applied to data processing carried out by public authorities in the performance of their tasks. The processing of personal data necessary for the prevention of fraud also qualifies as a legitimate interest of the data controller. The processing of personal data for direct marketing purposes is also considered to be based on legitimate interest.

(58) According to Article 4(1) of the General Data Protection Regulation, "personal data" means any information relating to an identified or identifiable natural person ("data subject"); an identifiable natural person is one who can be identified, directly or indirectly, particularly by reference to an identifier such as a name, number, location data, online identifier, or to one or more factors specific to the physical, physiological, genetic, mental, economic, cultural, or social identity of that natural person.

(59) According to Article 4(2) of the General Data Protection Regulation, "processing" means any operation or set of operations which is performed on personal data or on sets of personal data, whether or not by automated means, such as collection, recording, organization, structuring, storage, adaptation or alteration, retrieval, consultation, use, disclosure by transmission, dissemination or otherwise making available, alignment or combination, restriction, erasure, or destruction;

(60) According to Article 4(11) of the General Data Protection Regulation, "the data subject's consent" means the voluntary, specific, informed, and unambiguous indication of the data subject's wishes, by which the data subject signifies agreement to the processing of personal data concerning them, through a statement or a clear affirmative action;

(61) According to Article 5(1) of the General Data Protection Regulation, personal data:

- a) shall be processed lawfully and fairly, and in a transparent manner in relation to the data subject ("lawfulness, fairness, and transparency");
- b) shall be collected for specified, legitimate purposes and not further processed in a manner that is incompatible with those purposes; further processing for archiving purposes in the public interest, scientific and historical research purposes, or statistical purposes shall not be considered incompatible with the original purposes in accordance with Article 89(1) ("purpose limitation");

d) shall be accurate and, where necessary, kept up to date; every reasonable step must be taken to ensure that personal data that are inaccurate, with respect to the purposes for which they are processed, are erased or rectified without delay ("accuracy");

According to paragraph (2), the data controller shall be responsible for compliance with paragraph (1) and shall be able to demonstrate such compliance ("accountability").

(62) According to Article 6 of the General Data Protection Regulation, the processing of personal data shall be lawful only if and to the extent that at least one of the following applies:

a) the data subject has given consent to the processing of their personal data for one or more specific purposes;

b) the processing is necessary for the performance of a contract to which the data subject is a party, or for taking steps at the request of the data subject prior to entering into a contract;

c) the processing is necessary for compliance with a legal obligation to which the data controller is subject;

d) the processing is necessary in order to protect the vital interests of the data subject or of another natural person;

e) the processing is necessary for the performance of a task carried out in the public interest or in the exercise of official authority vested in the data controller;

f) the processing is necessary for the purposes of the legitimate interests pursued by the data controller or by a third party, except where such interests are overridden by the interests or fundamental rights and freedoms of the data subject which require protection of personal data, in particular if the data subject is a child.

Point (f) of the first subparagraph shall not apply to processing carried out by public authorities in the performance of their tasks.

(63) According to Article 7(1) of the General Data Protection Regulation, if the processing is based on consent, the data controller shall be able to demonstrate that the data subject has consented to the processing of their personal data.

(64) According to Article 12(1) of the General Data Protection Regulation, the data controller shall take appropriate measures to provide the data subject with all information regarding the processing of personal data referred to in Articles 13 and 14, and all information referred to in Articles 15-22 and 34, in a concise, transparent, intelligible, and easily accessible form, using clear and plain language, particularly when addressing children. The information shall be provided in writing or by other means – including, where appropriate, by electronic means. Upon request of the data subject, oral information may also be provided, provided that the identity of the data subject is otherwise verified.

(65) Articles 13(1)-(2) of the General Data Protection Regulation:

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(1) If personal data concerning the data subject are collected from the data subject, the data controller shall provide the data subject with the following information at the time of obtaining the personal data:

a) the identity and contact details of the data controller and, if applicable, the representative of the data controller;

b) the contact details of the data protection officer, if applicable;

c) the purpose of the intended processing of personal data and the legal basis for the processing;

d) in the case of processing based on point (f) of Article 6(1), the legitimate interests pursued by the data controller or a third party;

e) where applicable, the recipients of the personal data or categories of recipients, if any;

f) where applicable, the fact that the data controller intends to transfer personal data to a third country or an international organization, as well as the existence or absence of an adequacy decision by the Commission, or in the case of transfers referred to in Article 46, Article 47, or the second subparagraph of Article 49(1), the identification of the appropriate and suitable safeguards, as well as a reference to the means of obtaining a copy of those safeguards or the availability thereof.

(2) In addition to the information referred to in paragraph (1), the data controller shall inform the data subject of the following additional information at the time of obtaining the personal data, in order to ensure fair and transparent processing:

a) the duration for which the personal data will be stored, or if that is not possible, the criteria used to

determine that duration;

- b) the data subject's right to request from the data controller access to personal data concerning him or her, the rectification of such data, the erasure of such data, or the restriction of processing concerning him or her, and to object to such processing, as well as the right of the data subject to data portability;
- c) the right to withdraw consent at any time, where the processing is based on point (a) of Article 6(1) or point (a) of Article 9(2), without affecting the lawfulness of processing based on consent before its withdrawal;
- d) the right to lodge a complaint with a supervisory authority;
- e) whether the provision of personal data is a statutory or contractual requirement or a requirement necessary to enter into a contract, as well as whether the data subject is obliged to provide the personal data and the possible consequences of failing to provide such data;
- f) the existence of automated decision-making, including profiling, referred to in Articles 22(1) and (4), and at least in those cases, meaningful information about the logic involved, as well as the significance and the expected consequences of such processing for the data subject.

(66) The General Data Protection Regulation Articles 14(1)-(2):

(1) If the personal data have not been obtained from the data subject, the data controller shall provide the data subject with the following information:

- a) the identity and contact details of the data controller and, if applicable, the representative of the data controller;
- b) the contact details of the data protection officer, if applicable;
- c) the purpose of the intended processing of personal data and the legal basis for the processing;
- d) the categories of personal data concerned;
- e) the recipients of the personal data or categories of recipients, if any;
- f) where applicable, the fact that the data controller intends to transfer personal data to a recipient in a third country or to an international organization, as well as the existence or absence of an adequacy decision by the Commission, or in the case of transfers referred to in Article 46, Article 47, or the second subparagraph of Article 49(1), the identification of the appropriate and suitable safeguards.

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In the case of data extension, the specification of appropriate and suitable guarantees, as well as references to the means of obtaining copies of these or their availability.

(2) In addition to the information mentioned in paragraph (1), the data controller shall provide the data subject with the following additional information necessary to ensure fair and transparent data processing concerning the data subject:

- a) the duration of storage of personal data, or if this is not possible, the criteria for determining this duration;
- b) if the data processing is based on point (f) of Article 6(1), the legitimate interests of the data controller or a third party;
- c) the right of the data subject to request access to their personal data from the data controller, to rectify, delete, or restrict the processing of their personal data, and to object to the processing of personal data, as well as the right of the data subject to data portability;
- d) the right to withdraw consent at any time in the case of data processing based on point (a) of Article 6(1) or point (a) of Article 9(2), which does not affect the lawfulness of processing based on consent before its withdrawal;
- e) the right to lodge a complaint with a supervisory authority;
- f) the source of personal data and, where applicable, whether the data originates from publicly accessible sources; and
- g) the fact of automated decision-making mentioned in Article 22(1) and (4), including profiling, as well as understandable information regarding the logic involved in such processing and the significance and expected consequences of such processing for the data subject.

(67) According to Article 14(3) of the General Data Protection Regulation, the data controller shall provide the information specified in paragraphs (1) and (2) as follows:

- a) considering the specific circumstances of the processing of personal data, within a reasonable period from the acquisition of personal data, but no later than one month;

- b) if the personal data is used for the purpose of contacting the data subject, at least at the time of the first contact with the data subject; or
- c) if the data is expected to be communicated to another recipient, no later than at the time of the first communication of the personal data.

(68) According to Section 17(1) and (2)(a) of the Act on Public Records:

(1) The authorities of the register shall provide data under the conditions and limitations specified in this law - at the request of a citizen, legal entity, or organization without legal personality, upon verification of the purpose and legal basis of use.

(2) Data from the register may be provided according to the following classifications:

a) name and address data (information about the address);

(69) According to Section 19 of the Act on Public Records:

(1) The provision of data referred to in Section 17(2)(a) may be requested by any citizen, legal entity, or organization without legal personality, upon verification of the purpose and legal basis of use:

a) for the enforcement of their rights or legitimate interests,

b) for scientific research purposes,

c) for the necessary sample for conducting public opinion and market research, as well as

d)

(2) Based on points (b) and (c) of paragraph (1), those entitled to request data may request the data according to the following selection criteria:

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a) for scientific research purposes according to the data specified in Section 11 (1) points a)-e), g)-h) and k),

b) for public opinion polling and market research purposes according to Section 11 (1) points c)-d), h) and k),

c)

(3) In the case of data requests based on points b) and c) of paragraph (1), the applicant must also appropriately prove their entitlement to carry out the activity specified there or to request the data.

(4) The request must be denied if

a) the data release has been prohibited by the citizen, except if the citizen has granted case-specific permission for the data provision;

b) the applicant has not or has not appropriately justified the purpose of data use or the legal basis;

c) the specified purpose does not affect the rights or legitimate interests of the applicant, or it violates the personal rights of the citizen concerned;

d) less than ninety days have passed since the registration of the newborn's data.

(5)

(6)

(70) According to Section 2 (1) point 3 of Act CXIX of 1995 on the handling of name and address data for research and direct marketing purposes (hereinafter: Kktv.), market research is the examination of the consumer habits of the data subject.

According to the text version of the Kktv. in effect until April 25, 2019, Section 2 (1) point 4, Direct marketing: the totality of informational activities and supplementary services carried out through direct solicitation,

whose purpose is related to the sale, provision, or promotion of products or services, as defined in point d) of Section 3 of Act XLVIII of 2008 on the basic conditions and certain limitations of economic advertising activities (hereinafter: Grt.), forwarded to consumers or commercial partners (hereinafter collectively: clients).

(71) For data processing falling under the scope of the General Data Protection Regulation, the General Data Protection Regulation must be applied with the supplements specified in Section 2 (2) of the Infotv.

(72) According to Section 60 (1) of the Infotv., in order to ensure the enforcement of the right to the protection of personal data, the Authority shall initiate a data protection authority procedure at the

request of the data subject and may initiate a data protection authority procedure ex officio.

(73) According to Section 61 (1) point a) of the Infotv., in its decision made in the data protection authority procedure, the Authority may apply the legal consequences specified in the General Data Protection Regulation in connection with the data processing operations defined in Section 2 (2) of the Infotv.

(74) According to Section 61 (2) of the Infotv., the Authority may order the publication of its decision – with the identification data of the data controller and the data processor being made public – if the decision affects a wide range of individuals, was made in connection with the activities of a public authority, or the severity of the infringement justifies the publication.

(75) According to Section 71 (2) of the Infotv., the Authority may use documents, data, or other evidence lawfully obtained during its procedures in another procedure.

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(76) Based on Section 75/A of the Infotv., the Authority exercises its powers as set forth in Articles 83 (2)–(6) of the General Data Protection Regulation, taking into account the principle of proportionality, particularly by addressing the first violation of the provisions regarding the processing of personal data—defined in legislation or in a binding legal act of the European Union—primarily by warning the data controller or data processor in accordance with Article 58 of the General Data Protection Regulation.

(77) GDPR Article 58 (2) points b), d), and i): Acting within its corrective powers, the supervisory authority:

b) reprimands the data controller or data processor if their data processing activities have violated the provisions of this regulation;

d) instructs the data controller or data processor to bring their data processing operations into compliance with the provisions of this regulation—if applicable, in a specified manner and within a specified time;

i) imposes an administrative fine in accordance with Article 83, depending on the circumstances of the case, in addition to or instead of the measures mentioned in this paragraph.

III.

Decision

1. Subject of the current data protection authority procedure

(78) The Authority received several reports in which the reporters objected to the data processing related to the postal inquiries sent by Client1 addressed to the names of minor children and directed to their legal representatives for market research and direct marketing purposes.

(79) The Authority initiated an ex officio procedure to investigate whether Client1 complies with the provisions of the General Data Protection Regulation in its data processing practice.

(80) According to the company registry data, Client1 was established on January 16, 2018. Its main activity is classified as other education n.e.c., and it also engages in market and public opinion research.

(81) According to the decision NAIH-8386-1/2022 issued by the Authority, the subject of the data protection authority procedure is the examination of the legality of Client1's data processing practices for market research and direct marketing purposes.

(82) The data processing period examined for Client1 in this procedure spans from January 1, 2020, to November 8, 2022.

(83) Client1 operates the website <https://pitagorasz.hu/>, where there is an option to subscribe to a newsletter, and Client1 also operates several subpages (www.felvizsga.hu, www.oldjukmeg.net, www.nyolcadikosok.hu, www.matekcozz.hu, www.tandijbefizetes.hu, www.pitagoraszonline.hu, www.pitagorasz.shp.hu), most of which navigate the user to the main website www.pitagorasz.hu or directly open the registration interface for the preparatory course.

2. Brief summary of the examined data processing activity

(84) In connection with the postal inquiries, Client1 processes the name and address data of the affected individuals—minor children. Client1 requested the name and address data of the minor affected individuals from the Ministry of the Interior (BM).

(85) Client1 requested name and address data from the BM annually. According to the attached copies of the requests, Client1 submitted requests for data provision to the BM three times during the examined data processing period. The data request applications specified...

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According to the statement made by Customer1 in response to the Authority's request, Customer1 requested name and address data to commence market research activities related to the preparatory courses it organized. In connection with its requests, Customer1 received the name and address data of 33,185 individuals as a result of its data request in February 2020, 61,770 individuals as a result of its request in April 2021, and 29,003 individuals as a result of its request in May 2022 from the Ministry of the Interior (BM).

(86) The postal inquiries sent by Customer1 in August 2020 contained information regarding Customer1's preparatory courses and an enrollment form. The following information was readable on the sent letters: "Dear Sir or Madam! We inform you that we have requested your child's name and address from the records of the Personal Documents Department of the Ministry of the Interior through random selection for the purpose of mailing educational information. We have ceased the use of the data by forwarding this letter. We inform you that the provision of data is voluntary, and you have the right to request the cessation of the use of your data for the specified purpose."

(87) A complaint received by the Authority on September 1, 2021, registered under number NAIH-6956-1/2021, and based on a sample letter attached by Customer1, indicated that one side of the two-page letter sent by Customer1 in August 2021 referred to the purpose of the inquiry – according to the sample letter provided by Customer1 – highlighting that "The purpose of our current letter is to understand parents' opinions on which preparatory course of the Pythagoras Studio may find a favorable reception among interested parents. Please visit www.hatodikosok.hu, where you can find all information about this, as well as about the six-grade high schools and the admission process!" The second page of the letter contained information regarding data processing as described in point (13).

(88) One side of the postal letters sent by Customer1 in September 2022 contained 4 questions in which Customer1 inquired about the admission preparation needs of the contacted parents, while the other side contained information regarding data processing as described in point (13) following the information about Customer1's preparatory course.

(89) According to Customer1's statement, the legal basis for processing the data obtained from the BM is the legitimate interest as per Article 6(1)(f) of the General Data Protection Regulation. The purpose of the market research is to assess the opportunities of the preparatory courses and to evaluate parental needs.

(90) Additionally, on the website operated by Customer1, <https://pitagorasz.hu/>, there is an option to subscribe to a newsletter.

3. Customer1's data processing practice related to sending postal inquiries

3.1.

Legal basis for data processing

(91) Based on Customer1's statement and the attached documents, Customer1 requested the name and address data used for sending postal inquiries from the citizens' personal data and address registry.

(92) During the examined data processing period, Customer1 made data requests to the BM three times.

(93) According to the attached copies of the data requests, in its request dated February 17, 2020, in its request dated April 7, 2021, and in its request dated May 9, 2022, Customer1 indicated the data usage purpose as "to commence market research related to the preparatory courses we organize."

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(94) The Ministry of the Interior (BM) granted the requests of Client 1 for data provision and authorized Client 1 to request group data provision from the registry of citizens' personal data and addresses. Based on the attached document copies, Client 1 submitted a data request to the BM once a year, in which it requested the name and address data of minors likely to be in the fourth, sixth, and eighth

grades during the given academic year by providing birth date intervals.

(95) In response to the Authority's call, Client 1 stated that the purpose of processing the data was to conduct market research activities related to the preparatory course for admission, and since the BM released the data, the release of the data was not restricted by the legal representative of the data subject.

(96) According to the definition in the GDPR, the name and address are personal data of the data subject, while any operation performed on the data, such as collection, storage, or use of the data, is considered data processing.

(97) For the lawfulness of data processing, the data controller must have a legal basis in accordance with Article 6(1) of the GDPR.

(98) According to Client 1's statement, the legal basis for processing the data obtained from the BM is the legitimate interest under Article 6(1)(f) of the GDPR.

(99) In the case of data processing based on Article 6(1)(f) of the GDPR, the data controller must conduct a balancing of interests. This is supported by the (47) recital of the GDPR, which states that the existence of a legitimate interest legal basis must be justified by a balancing of interests. In this context, the data controller must examine the necessity of the data processing. The processing of personal data must be directly related to the intended purpose: the purpose must be examined precisely, through a complex and fact-based analysis, particularly considering whether there are less restrictive means to achieve the intended goal and whether there are alternative means that are less restrictive of the data subjects' privacy. The legitimate interest of the data controller and any third party must be defined as precisely as possible, also based on a fact-based, specific examination relevant to the given data controller. The interest must be real and current. A fundamental element of the balancing of interests is the assessment of the interests and expectations of the data subjects, taking into account the status, legal and factual situation of the data subjects, as well as their reasonable expectations regarding the data processing. The balancing of interests involves a detailed analysis of why the legitimate interest of the data controller proportionately restricts the rights of the data subjects and why the primacy of the data controller's interest over the rights of the data subjects follows from the established facts. In the absence of such a balancing of interests—considering the violation of the principle of accountability—there can be no lawful and transparent data processing. The balancing of interests must clearly define the identity of the data controller, and it is the responsibility and duty of the data controller to accurately document and justify the above.

(100) According to the Authority's consistent and established practice, the data controller is responsible for the lawfulness of the data processing it performs. Due to the nature of the legal basis under Article 6(1)(f) of the General Data Protection Regulation, the data controller must be able to specify exactly which legitimate interest justifies the processing of a specific personal data and, in light of this interest, why the data processing is necessary, while also being able to demonstrate that this interest takes precedence over the data subject's legitimate interest and their right to the protection of personal data.

(101) The Authority points out that, based on the accountability principle requirement formulated in Article 5(2) of the General Data Protection Regulation, which essentially establishes the objective responsibility of the data controller and heightened due diligence requirements, the data controller has the obligation to demonstrate that the conditions for the lawfulness of data processing are met—

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The processing of personal data shall be continuous from the commencement of data processing. The fact that the personal data of the data subject is being processed and that this is not detrimental to them does not imply adequate balancing, meaning that the data controller has fully considered the data subject's perspectives, interests, fundamental rights, and freedoms. The application of interest balancing always comes with the requirement that data controllers must ensure the incorporation of specific guarantees. Finally, it must be determined why the legitimate interests of the data controller or a third party proportionately limit the rights of the data subject. Interest balancing must be conducted prior to the data processing, not retrospectively. The data controller can only reasonably trust that they comply with the legal requirements of data processing in all respects if they can also fulfill this burden of proof and demonstrate the existence of these conditions to the Authority, the adjudicating court, and

the data subject in a detailed and sufficiently certain manner.

(102) It follows that if the data controller cannot prove that the data processing contested by the data subject complied with data protection requirements during the examined period, they do not meet the principle of accountability, thereby violating Article 5(2) of the General Data Protection Regulation.

Data controllers must implement all data processing operations in such a way that they can demonstrate at any moment how they complied with data protection regulations. The principle of accountability, therefore, is not only interpretable in general, at the process level, but also applies to all specific data processing activities concerning the personal data of a specific data subject.

(103) According to Article 5(2) of the General Data Protection Regulation, based on accountability, the data controller is obliged to document and record the data processing in such a way that its legality can be proven subsequently. An important requirement arising from the principle of accountability is that the documentation must be prepared concerning the data controller and its data processing; mere literal adoption of legal texts does not clarify why the specific data processing is necessary.

(104) The Authority's position is that it is unacceptable for Client1 to state in their declaration that they based their data processing on the legitimate interest legal basis, yet did not conduct any interest balancing according to their declaration, and therefore could not demonstrate to the Authority the existence of their legitimate interest.

(105) Based on the above, the Authority established that Client1, by failing to demonstrate the existence of their legitimate interest regarding the processing of the name and address data of the minor data subjects requested from the personal data and address registry, processed the requested personal data without a legal basis, thereby violating the principle of accountability under Article 5(2) of the GDPR and, in this regard, Article 6(1), as they processed the personal data of the minor data subjects unlawfully and without a valid legal basis.

3.2.

Purpose of data processing related to postal inquiries

(106) During the examined data processing period, Client1 sent letters three times, once a year, to the legal representatives of the minor data subjects using the name and address data requested from the Ministry of Interior.

(107) The data processing carried out by Client1 in connection with these inquiries, namely the postal inquiries sent in 2020, 2021, and 2022, shall be considered separate data processing activities.

(108) According to Section 19(1)(c) of the Act on Public Disclosure of Data, any legal entity is entitled to request the provision of name and address data, provided that they can demonstrate the purpose and legal basis for use, for the purpose of compiling a sample necessary for the commencement of public opinion and market research.

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Client1 indicated in all data requests submitted to the Ministry of the Interior (BM) – including those submitted in 2020, 2021, and 2022 – that the purpose of data usage was market research related to the preparatory courses for admissions that it organized.

(109) According to the principle of purpose limitation in Article 5(1)(b) of the General Data Protection Regulation, personal data may only be collected for specified, explicit, and legitimate purposes, and they cannot be processed in a manner incompatible with those purposes. Furthermore, as stated in recital (39), the specific purposes of personal data processing must be explicitly formulated and lawful, and they must already be defined at the time of collection of the personal data.

(110) According to Client1's statement, it requested the personal data to commence market research activities related to the preparatory admission course, thus indicating market research as the purpose of data usage. Client1 also specified this as the purpose for which it wishes to use the requested data in its application to the BM.

(111) Client1 stated that market research provides the information based on which they can organize preparatory admission courses in accordance with parental expectations, such as which educational format is the most preferred and what content expectations parents have regarding the preparatory courses.

(112) In contrast, in the informational part of the inquiry letter sent to the data subjects in August 2020,

Client1 indicated the purpose of using the requested data as the mailing of educational information. (113) In the informational section on the second page of the postal letter sent in August 2021, Client1 stated, "The purpose of this market research is to assess the admission preparatory course options of Pitagoras Educational Studio Ltd. and to understand parental needs," while on the first page of the letter, Client1 also stated, "The purpose of our current letter is to understand parents' opinions on which preparatory course of Pitagoras Educational Studio may find acceptance among interested parents." However, based on the sample letter attached by Client1, the inquiry letter sent to parents did not contain a questionnaire related to this, but merely stated, "Please visit www.hatodikosok.hu, where you can find all information regarding this, as well as about six-year secondary schools and the admission procedure!" However, there was no reference regarding what "understanding parents' opinions" precisely entails, how this purpose can be realized, or any call for parents to visit the specified website and fill out the questionnaire online.

(114) It can therefore be established that Client1 processed the data requested in 2020 and 2021 for the purpose indicated in the data request submitted to the BM, contrary to what was stated in the informational section of the letter, which was to mail educational information. The content of the letter sent to the data subjects was, based on its content, a promotion of Client1's activities, namely providing information about the preparatory courses it held, their locations, times, and enrollment information directly in the letter, as well as through page references in the letter.

(115) The purpose must be presented clearly, obviously, and in understandable language so that the data subjects are aware of all essential circumstances of the data processing, the specific purpose, and the scope of data related to it, as well as the process of handling their personal data. This expectation placed on the data controller is in accordance with the transparency requirement under Article 5(1)(a) of the General Data Protection Regulation.

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The principle of fair data processing follows from this, and the conditions for the enforcement of the rights of the data subjects can also be derived from it.

(116) Since April 26, 2019, the scope of Act CXIX of 1995 on the processing of name and address data for research and direct marketing purposes does not extend to natural and legal persons who request or process name and address data for the purpose of contacting individuals for direct marketing. According to the previous definition in the Kktv., direct marketing encompasses all activities and supplementary services conducted through direct solicitation, aimed at the transmission of advertisements related to the sale, provision, or promotion of products or services, as defined in Section 3(d) of the Grt. to consumers or commercial partners.

(117) Although it was possible to fill out the questionnaire online during the examined period through certain websites of Client1 (www.negyedikesek.hu, www.hatodikosok.hu, www.nyolcadikosok.hu), the specified postal solicitations did not emphasize that the purpose of Client1's postal solicitations was to encourage as many people as possible to fill out the designated questionnaire – in fact, the letter sent in August 2020 does not even mention the questionnaire – based on which Client1 could have assessed parental demands related to admissions. Even when opening the websites indicated in the letters sent in 2021, the interested party can read about the necessity of the admission preparatory courses held by Client1 and their practical procedure, and at the top of the pages, above the main information, there is a reference to the "QUESTIONNAIRE about the preparatory courses," through which the questionnaire can be opened and filled out online.

(118) Based on the available information, the Authority established that Client1 did not use the data requested from the personal data and address registry in 2020 for the purpose specified in the data request, as the content of the sent letter corresponds to a direct marketing solicitation, since it advertised Client1's admission preparatory courses, and there was no information indicating any market research in its content. Furthermore, the purpose indicated in the information placed in the letter – mailing educational information – did not specify the actual purpose of the data processing, but rather suggested that Client1 had requested the name and address data from the BM for the purpose stated in the information, whereas the Nytv. does not allow for data requests for this purpose.

(119) According to the Authority's findings, the existence of the market research purpose cannot be identified concerning the postal solicitations sent in August 2021 based on the details outlined in point

(113); the purpose of these postal solicitations, in the Authority's view, was direct marketing, despite the fact that the information regarding data processing placed on the sent letter referred to the solicitation as market research.

(120) The Authority finds that, based on the above, Client1 violated the principle of purpose limitation as set out in Article 5(1)(b) of the General Data Protection Regulation during the data processing related to the postal solicitations conducted in 2020 and 2021.

3.3 Fairness of Data Processing

(121) The description of the purpose must be made clearly, obviously, and in understandable language, so that the data subjects are aware of all essential circumstances of the data processing, the specific purposes, and the scope of the data corresponding to those purposes, as well as...

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the processing of their personal data. This expectation placed on the data controller follows from the principle of transparency and fair data processing as set out in Article 5(1)(a) of the General Data Protection Regulation.

Compliance with the purpose limitation principle consists of two main parts: on the one hand, it involves the selection of a clear and lawful purpose, and on the other hand, it requires the processing of personal data in a manner compatible with that purpose or purposes.

The expectations arising from these are as follows:

- A specifically defined purpose, declared before the commencement of data processing. In this case, this was completely absent during the postal inquiries made to the data subjects, and the information provided by Client1 in the inquiry letters was misleading and incorrect.

- A legitimate purpose in accordance with the legal basis and related to the data processing. In this case, Client1 did not establish a valid legal basis for its data processing related to the postal inquiries as explained in point 3./3.1, and the determination of the purpose of data processing (data usage) cannot be considered valid for most of the examined data processing period (during the inquiries sent in 2020 and 2021).

- Clear communication to the target group, not ambiguous and not misleading. In this case, adequate information—particularly regarding the purpose of data processing and its legal basis—was not provided to the data subjects at all; based on the available information, it is evident that Client1 did not use the requested data for the data usage purpose specified in its data requests; the actual purpose of the market research during the postal inquiries conducted in 2020 and 2021 was, in fact, direct business acquisition (direct marketing).

- In the case of additional purposes, the appropriate interpretation of the compatibility test, which generally assumes a high degree of similarity between the previous and subsequently arising purposes. In this case, the compatibility of purposes did not arise, thus compliance with this condition is irrelevant.

(122) As a result of the findings in points (106)-(117), the Authority further establishes that Client1, by not specifying a valid purpose for the use of the requested data during its data requests from the personal data and address registry in 2020 and 2021, misled both the data subjects and the Ministry of the Interior regarding the actual purpose of data processing, thereby violating the principle of fair processing as set out in Article 5(1)(a) of the General Data Protection Regulation.

3.4.

Information provided during the postal inquiry

(123) According to Article 12(1) of the General Data Protection Regulation, Client1, as the data controller, is obliged to take appropriate measures to ensure that all information regarding the processing of personal data mentioned in Articles 13 and 14, as well as each piece of information pursuant to Articles 15-22 and 34, is provided to the data subjects in a concise, transparent, intelligible, and easily accessible form, clearly and in plain language.

(124) The system of appropriate information in the General Data Protection Regulation serves to ensure that the data subject is aware of which personal data will be processed, by which data controller, for what purpose, and how. This is essential for the data subject to be in a position to effectively exercise their rights.

(125) In the examined data processing, Client1 contacted the legal representatives of minor data subjects by mail in such a way that – in the letters sent in 2020 and 2021 – it provided information about the service it offers, namely the preparatory course for admission. In the postal inquiry sent in August 2020, the letter itself contained essential information regarding the preparatory courses, as well as a form for enrollment in the preparatory course, while in the postal inquiry sent in August 2021, the letter generally described Client1's activities related to the preparatory course and referred to a website for the age group addressed in the letter, where more specific information could be found. The inquiries sent in 2022 included, in addition to information about the admission preparatory course held by Client1, a questionnaire consisting of 4 points regarding the needs of the affected parents related to the preparatory courses.

(126) The principle of transparent data processing set out in Article 5(1)(a) of the General Data Protection Regulation requires that the data subject be informed about the fact and purpose of the data processing. Therefore, one essential condition for the lawfulness of the data processing is that the data controller properly informs the data subject about all important circumstances of the data processing.

(127) Articles 13-14 of the General Data Protection Regulation specify what information must be provided during the processing of personal data. Different rules (content and deadlines) apply depending on whether the data was obtained from the data subject or from another source, while the formal requirements for the information are guided by Article 12 of the General Data Protection Regulation.

(128) Since Client1, using data provided by the Ministry of the Interior – that is, after collecting personal data not from the data subject but from another source – contacted the minor data subjects and their legal representatives by postal inquiries, Client1 was required to provide the data subjects with information related to the processing of their personal data within a reasonable timeframe, taking into account the provisions of Article 14 of the General Data Protection Regulation.

(129) Based on the complaints received by the Authority and the sample letters submitted by Client1, it was found that the inquiries sent in different years during the examined data processing period had different content, and the information provided in the letters varied between the types of letters sent in 2020, 2021, and 2022.

(130) In addition to the content described in point (113), the letter sent by Client1 in August 2020 contained the following information:

“Dear Sir or Madam! We inform you that we have requested your child's name and address from the Ministry of the Interior's Department of Personal Documents through random selection for the purpose of sending educational information. We have ceased the use of the data by forwarding this letter. We inform you that the provision of data is voluntary, and you have the right to request the cessation of the use of your data for the specified purpose.”

(131) The Authority found that the information provided in the informational letter sent by Client1 to the minor data subjects (their legal representatives) by mail in August 2020 did not contain the essential information required by Article 14 of the General Data Protection Regulation:

(i) The information did not specifically name who could be considered the data controller, and it was not possible to determine from the content of the entire letter to whom/which organization the preparatory course described in the letter was actually related. The letter received by post, along with the text placed on it, only referred to websites.

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referred to, which the data subject could access by opening the websites managed by Client1. The letter, as well as the information provided, did not contain the contact details of the data controller; it could only be inferred from the sender of the letter which data controller could be contacted regarding the letter received by post, as well as the advertised preparatory course [GDPR Article 14(1)(a)].

(ii)

The information provided did not offer any details regarding the legal basis for data processing or its purpose. The text of the information only referred to the data request for the Ministry of the Interior (BM), concerning which the Authority finds that it did not correspond to reality, as in the requests submitted to the BM, Client1 indicated the purpose of data use as market research related to the

preparatory courses [GDPR Article 14(1)(c)].

Furthermore, the information did not contain important details necessary to ensure transparent data processing:

(iii)

In its response to the Authority, Client1 stated that its data processing is based on Article 6(1)(f) of the General Data Protection Regulation; however, the information placed in the letter did not provide any information in this regard, nor did it mention the legitimate interest legal basis, nor did it otherwise provide information about the legal basis for data processing [GDPR Article 14(2)(b)].

(iv)

The information did not provide any details regarding the rights of data subjects, only stating that "the provision of data is voluntary, thus you have the right to request the cessation of the use of your data for the specified purpose." However, this does not correspond to any specific right provided by the General Data Protection Regulation [GDPR Article 14(2)(c)]. Furthermore, this sentence contradicts the preceding sentences. On one hand, it suggests that the data subject is providing their personal data ("the provision of data is voluntary..."), whereas Client1 requested the personal data from the BM; on the other hand, in the previous sentence, the data controller informs that the use of the data has been terminated by forwarding the letters – according to Client1's statement to the Authority, the data requested from the BM was deleted following the dispatch of postal inquiries – and then based on the content of the next sentence, the data subject can request the deletion of personal data.

(v)

The information did not provide details to the data subjects regarding their right to lodge a complaint with the supervisory authority [GDPR Article 14(2)(e)].

(132) The Authority established that based on the details outlined above, the information provided in the inquiry sent by Client1 to the minor data subjects and their legal representatives by post in August 2020 did not provide the data subjects with information about all essential circumstances of data processing, nor did it provide clear information to the data subjects, thereby violating Article 12(1) and Article 14(1)(a) and (c), as well as Article 14(2)(b), (c), and (e) of the GDPR.

(133) The letter sent by Client1 in August 2021 and September 2022 contained the following information:

"Dear Parent!

This information was prepared for you by Pitagoras Educational Studio Ltd.

Our registered office: 1028 Budapest, Szilágyi Erzsébet Street 30.

We inform you that the source of your data is the Department of Personal Records and Administrative Affairs of the Ministry of the Interior."

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We inform you that the data used will not be stored, will not be transmitted, and after the letter is mailed – by the time you receive it – we have already deleted it.

The purpose of this market research is to assess the admission preparatory course opportunities of Pitagoras Educational Studio Ltd. and to understand parental needs.

The legal basis for data processing: Section 3 (1) d) of Act CXIX of 1995 on the processing of name and address data for research and direct business acquisition purposes.

You can view the data processing declaration of Pitagoras Educational Studio Ltd. at www.pitagorasz.hu.

(134) The Authority found that the informational letter sent by Client1 to the minor data subjects (their legal representatives) by post in September 2022 did not contain the essential information specified in Article 14 of the General Data Protection Regulation:

(i)

The information did not specifically identify who can be considered the data controller. Although the information mentioned the name of Client1 as the creator of the information and provided its contact details (registered office), it only allowed for a conclusion to be drawn that Client1 is the data controller in relation to the data processing under review [GDPR Article 14 (1) a)].

(ii)

The information did not inform the data subjects about the legal basis for the processing of personal data. The information also contained a legal reference, which misleadingly creates the impression that the processing of the addressee's personal data as a data subject is necessary for the fulfillment of a legal obligation contained in the referenced legislation, meaning that its legal basis would be the fulfillment of a legal obligation under GDPR Article 6 (1) c) [GDPR Article 14 (1) c)].

In addition to the above, the information did not contain important supplementary information necessary to ensure transparent data processing:

(iii)

In its response to the Authority, Client1 stated that its data processing is based on Article 6 (1) f) of the General Data Protection Regulation; however, the information provided in the letter did not offer any information in this regard [GDPR Article 14 (2) b)].

(iv)

The information did not provide any information regarding the rights of the data subjects [GDPR Article 14 (2) c)].

The information provided by the data controller only included that the data processing declaration could be accessed on a specific website, which could be misleading for the data subjects, as the term "data processing declaration" does not necessarily imply that the data controller is referring to the data processing information under this term.

(v)

The information did not provide any information to the data subjects about their right to lodge a complaint with the supervisory authority [GDPR Article 14 (2) e)].

(135) The Authority reviewed the document titled "Data Processing Declaration" published on Client1's website during the examined data processing period, which Client1 referred to as a data protection information in its statement to the Authority. The Authority found that the document contained no information regarding the data processing related to the postal inquiry sent by Client1.

(136) The Authority established that based on the details outlined above, the inquiry sent by Client1 to the minor data subjects and their legal representatives by post in August 2021 and September 2022 did not contain any relevant information.

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The provided information did not, on the one hand, inform the data subjects about all essential circumstances of the data processing, and on the other hand, did not provide clear information to the data subjects, thereby violating Article 12(1) and Article 14(1)(a) and (c), as well as Article 14(2)(b), (c), and (e) of the GDPR.

3.5.

Data processing practice of Client1 in connection with newsletter sending

3.5.1. Legality of data processing, participants in data processing

(137) As described in point I.4, Client1 provided the opportunity to subscribe to a newsletter on its operated website <https://pitagorasz.hu>, and continues to provide this opportunity as of the date of the Decision.

(138) According to Client1's statement and the information provided in its data processing notice, the newsletter sending is carried out with the involvement of a data processor, Client2, as the newsletter service is operated through the mailing system Webgalamb provided by Client2.

(139) Client2 provides hosting services for Client1's Webgalamb 8.1.0 online newsletter sending program, accessible at [...]. According to its statement and as described in point (40), Client2 does not provide data recording, data processing, editing, or other support to Client1; Client2 only acts as a data transmitter/intermediary during the use of the Webgalamb product (software/license) and newsletter sending service and does not process any personal data on behalf of its clients, including Client1, that pertains to Client1's customers/clients/newsletter subscribers.

(140) The mandatory data to be provided for newsletter subscription includes: the email address, the grade the student will be in from a given academic year, the region of Hungary where they reside (specifying the relevant county), and the re-entry of the email address. Additionally, for the subscription

to be successful, the checkbox for "consent" must be marked, indicating that the data subject consents to Client1 sending newsletters for marketing purposes and contacting them for direct business acquisition.

(141) However, based on the Excel databases attached by Client1, which contain the list of subscribers from the www.pitagorasz.hu website, Client1 actually stores the following personal data about the subscribers:

email address, IP address, subscription time, status (active/bounced), ID (a 6-digit identifier for all subscribers), subscription URL, the grade the student will be in from September 2019/2020/2021, and the region of Hungary where they reside.

Furthermore, for those who subscribed in the 2020/2021 and 2021/2022 academic years, the fact of consent to data processing was also recorded in the Excel database.

(142) According to the definitions in Article 4(1) and (2) of the GDPR, among other things, the email address, IP address, ID, subscription URL, and any other information collected regarding the data subject are considered personal data of the data subject, while any operation performed on the data, such as collection, recording, storage, organization, and use of the data, qualifies as data processing. For the legality of data processing, the data controller must have a legal basis in accordance with Article 6(1) of the GDPR.

(143) In its statement to the Authority, Client1 indicated consent as the legal basis for the data processing related to newsletter subscription.

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(144) During the examined data processing period, on the website of Client1, the document titled "Data Processing Declaration" (hereinafter: information) downloadable through an embedded link in the newsletter subscription window states under the subtitle "Data processing information related to newsletter sending and personalized advertisements" that "The legal basis for data processing is the user's voluntary consent for the use of their personal data provided during the use of the website, as well as Section 5 (1) of the Infotv. and Section 13/A (3) of Act CVIII of 2001." The purpose of data processing related to newsletter sending is: "exclusively to facilitate communication with users, and, where applicable, to provide certain services in a personalized manner, and to transmit new and current information." According to the information, Client1 processes the names, email addresses, and residential addresses (at the county and city level) of subscribers related to the newsletter sending until the withdrawal of the consent of the data subjects or until the request for deletion of the data by the data subject.

(145) For the newsletter subscription provided on the Client1 website – as evidenced by the test subscription described in point (53) conducted by the Authority – the data subjects have given, or are giving, their consent in such a way that the successful subscription requires that after providing the mandatory personal data, the subscriber indicates their consent by marking the checkbox before "I agree" stating that they consent "to receive newsletters from Pitagoras Educational Studio Ltd. for marketing purposes and to be contacted for direct business acquisition."

(146) According to Client1's declaration, the purpose of data processing is to maintain contact through the newsletter, that is, to remind parents of important information related to education.

(147) According to the statement placed on the subscription interface, the purpose of data processing is therefore the sending of marketing newsletters and direct business acquisition inquiries, and it is indicated as information in the subscription window – suggesting what topics the newsletters are expected to cover – that "If you request, we will regularly and free of charge inform you of all important information for you. /academic calendar, further education information, admission information, deadlines, learning opportunities, etc.../"

(148) The data subject may give informed consent for the processing of their personal data for specific purposes based on Article 6 (1) (a) of the GDPR. However, for its validity, the consent must comply with other general rules of the GDPR, such as the data processing principles under Article 5 (1) and (2) of the GDPR and the conditions specified in the definition in Article 4 (11), as well as the restrictions under Article 7 of the GDPR.

(149) According to Article 5 (1) (b) of the GDPR, the collection of personal data may only take place for specified, explicit, and legitimate purposes, and they may not be processed in a manner incompatible

with those purposes. Therefore, the specification of a sufficiently specific purpose is also a prerequisite for lawful data processing during the planning of data processing and the informing of data subjects. Furthermore, the preamble (32) of the GDPR emphasizes that if data processing serves multiple purposes simultaneously, consent must be given separately for each data processing purpose. If the data controller does not attempt to request consent separately for each purpose, the freedom of choice is lacking.

(150) Client1 collected personal data related to the newsletter subscription for several different purposes based on the above (marketing/direct business acquisition purpose and providing general information related to education), however, it only requested the consent of the data subjects for data processing for marketing and direct business acquisition purposes. In this regard, the Authority also emphasizes that direct business acquisition is an umbrella concept, the specific implementation of which needs to be specified as a goal, such as sending advertisements about products/services of its own or third parties through a given channel.

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(151) According to the Authority's position, the lawfulness of the processing of personal data of the data subjects can be established if the data subject has given separate consent for the processing of their personal data for all purposes of data processing.

(152) Article 4(11) of the GDPR defines the concept of "data subject's consent" as one of the lawful bases for the processing of personal data. In this regard, the preamble (32) of the GDPR provides further guidance, stating that processing may only take place if the data subject has given their consent through a clear affirmative action, such as a written statement—including electronic statements—or an oral declaration, which is voluntary, specific, informed, and unambiguous regarding the processing of personal data concerning them. The consent covers all processing activities for the same purpose or purposes. If the processing serves multiple purposes simultaneously, consent must be given for all purposes of data processing.

(153) In the present case, the information provided to the data subjects regarding the purposes of data processing is not sufficiently transparent, clear, and real, partly because one of the purposes of data processing is highlighted in the consent statement in the subscription window, while the information provided in the notice pertains to a different purpose of data processing, which does not allow for the determination of the actual intent of the data controller regarding the purpose of data processing.

(154) This is confirmed by the Guidance 5/2020 on consent under Regulation (EU) 2016/679, as well as the WP259 Guidance issued as a precursor, which states that a data controller who requests consent for various different purposes must provide a separate consent option for each purpose, so that data subjects can give specific consent for specific purposes.

(155) Therefore, the lawfulness of the processing of personal data of the data subjects can be established if the data subject has received adequate information regarding the actual purpose or purposes for which the personal data is being collected, and the data subject has given their separate, that is, clear and specific consent for the processing for all purposes. The data subjects' choice to subscribe to a newsletter for the purpose of receiving general information related to contact or education cannot be disputed, but they must also be free to decide whether they wish to receive marketing/direct sales newsletters from the data controller.

(156) Consent, as it is not a clear and specific expression of the data subjects' will when given in the manner described above, cannot be considered a valid legal basis for the processing, and based on this, Client1 has violated Article 6(1).

3.5.2. Information related to data processing in connection with newsletter sending

(157) According to Article 12(1) of the GDPR, Client1, as the data controller, is obliged to take appropriate measures to provide data subjects with all information regarding the processing of personal data mentioned in Articles 13 and 14, and all information under Articles 15-22 and 34 in a concise, transparent, intelligible, and easily accessible form, clearly and understandably formulated.

(158) The system of appropriate information in the GDPR serves to ensure that the data subject is aware of which personal data will be processed, by which data controller, for what purpose, and how. This is essential for the data subject to be in a position to effectively exercise their rights.

(159) In the absence of adequate information, the data subject is understandably not in a position to properly exercise their rights and to give informed consent to something they do not fully understand.

(160) In the case of data processing based on Article 6(1)(a) of the GDPR, the data controller is obliged, according to Article 4(11) of the GDPR, to provide information prior to the commencement of data processing and before obtaining consent, which allows for informed consent to be given.

(161) Consent from the data subject for data processing can only be valid if it is requested for specific purpose(s) – which can be specified separately for each purpose – and if adequate information is provided beforehand, placing the data subject in a position to make an informed decision regarding the granting of consent, and meeting all other validity requirements set forth in the GDPR. Article 12(1) of the GDPR explicitly imposes an obligation on the data controller to provide assistance to the data subject so that they can exercise all their rights in an informed manner.

(162) The obligation to provide information, as elaborated above, does not merely represent a "paperwork" obligation under the GDPR. The purpose of the information is to place the data subject in a position to make appropriate decisions regarding the exercise of their rights. If this is not objectively achieved for the average data subjects, it will not comply with the GDPR.

(163) Since Client1 obtained personal data related to newsletter subscriptions – the personal data provided on the designated platform during the subscriptions – from the data subjects, taking into account the provisions of Article 13 of the GDPR, the information regarding the processing of their personal data must be made available to the data subjects at the time of obtaining the personal data, in accordance with Article 13(1) and (2).

(164) According to the Authority's findings, the information provided by Client1 regarding data processing is not clear to the data subjects; the information available on the newsletter subscription platform is not entirely consistent with the information contained in the data processing notice available during the examined data processing period:

(i) The purpose of data processing indicated in the pre-formulated consent statement available on the subscription platform (marketing and direct business acquisition purposes) is not the same as the purpose of data processing specified in the data processing notice regarding information specifically related to newsletter sending, where the primary purpose indicated for sending newsletters is "facilitating communication," and additionally, the personalized provision of certain services and the transmission of new and current information are also indicated as purposes.

(ii) The mandatory data to be provided on the subscription platform is not the same as the categories of processed data indicated in the data processing notice regarding newsletter sending; furthermore, based on the content of the database provided to the Authority during the fact-finding process, Client1 stores a much broader range of data types.

(iii) In the data processing notice, Client1 also referred to the provisions of the Infotv. when specifying the legal basis for data processing, and the notice also referenced laws that are no longer in effect, such as the laws considered when processing users' data. Additionally, the address of the Authority in the data processing notice refers to a location that has been outdated for years, indicating that it has not been updated for years. The Authority has stated in numerous decisions and opinions that compliance with the GDPR is not a

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not only at a specific point in time but rather a regularly recurring, continuous compliance obligation. The Authority further notes that in the current data protection authority procedure, the data protection notice modified by Client1 during the procedure still indicates the Authority's headquarters from years ago.

(iv)

The notice described the data processor used by Client1 during its data processing; however, since December 2020, Client1 has not been using the service of the company specified in the notice for newsletter sending and data storage, but rather the service of Client2.

(165) According to the Authority's findings, the data processing notice published by Client1 during the examined data processing period is also not transparent. At the beginning of the notice, the data controller highlighted the legal basis for data processing, its purpose, and what data is processed, then

after unnecessary definitions taken from legislation regarding the adequacy of the information, it again informed about the legal basis for data processing—misleading the data subjects by listing multiple legal bases—however, it could not be determined which data processing activity this information referred to, as the notice subsequently listed the various data processing activities it performed without an overview, highlighting the legal basis for data processing, its purpose, the scope of data processed in relation to it, and the duration of data processing. Therefore, data subjects could only find more specific information regarding data processing for a specific purpose when reviewing the complete, multi-page notice.

(166) Considering that the legal basis chosen by Client1 was the consent of the data subject, it must be based on appropriate prior information, among other things, to be valid.

(167) According to Article 12(1) of the GDPR, it was Client1's obligation to take appropriate measures to provide the data subject with all information regarding the processing of personal data mentioned in Articles 13 and 14, and each notification under Articles 15-22 and 34 in a concise, transparent, intelligible, and easily accessible form, clearly and comprehensibly formulated in its information, which the data subjects intending to subscribe to the newsletter can access before subscribing.

(168) In light of the above, the Authority established in the operative part that Client1 violated Article 12(1) of the GDPR and points (c) and (e) of Article 13(1) and point (d) of Article 13(2) as it did not provide transparent and clear, accurate information to the data subjects regarding the newsletter subscription and newsletter sending during the examined data processing period.

3.5.3. Client1's data deletion practice in relation to newsletter sending

(169) According to Client1's statement, based on the details outlined above, there is an option to subscribe to the newsletter. According to Client1's statement, the newsletter sending continues until the data subject unsubscribes. Each newsletter contains an unsubscribe link; to prove this, Client1 attached a text sample of each newsletter sent in the academic year, that is, samples of three newsletters.

(170) The Authority, while analyzing the database saved by Client2 and made accessible to the Authority—as detailed in point I.4—found that its table named [...] contains the data of subscribed readers, thus including the email address, the email of the subscriber at the time of subscription.

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the title, the dates, a unique session that served to identify the subscriber in encrypted hash format at the time of subscription, the subscriber's group to which the subscription was requested, their ID, as well as whether they are active or deleted.

The "Active" column of the data table indicates the status of the subscribers, which can have 3 different values: "0", "1", and "2".

According to the Authority's observation, the data of subscribers marked with "0" in the column, meaning inactive, is accessible in the database with the same content as that of active subscribers, meaning that the email addresses and IP addresses of these subscribers can also be found within the table.

(171) Client1, in response to the Authority's related question regarding how it acts when a previously subscribed individual unsubscribes from the newsletter, or in the case of multiple unsuccessful email deliveries to a subscriber, confirmed in its statement that when a previously subscribed individual unsubscribes, the Webgalamb mailing system automatically deletes the subscriber immediately upon the unsubscribe click, such that they will not be aware of the identity of the unsubscribing individual. In the case of unsuccessful email delivery, the Webgalamb system indicates this fact, and this data is also permanently deleted and removed from the database.

According to Client1's statement, the referenced data table's "Active" column indicates "0" for inactive subscribers, while "2" indicates those subscribers whose sent email bounced back due to some error. According to its statement, this data will be permanently deleted.

(172) According to Article 17(1)(b) of the GDPR, the data subject has the right to request the controller to delete personal data concerning them without undue delay, and the controller is obliged to delete personal data concerning the data subject without undue delay if the data subject withdraws their consent on which the processing is based under Article 6(1)(a), meaning in this case unsubscribing

from the newsletter.

(173) According to the principle of accuracy set out in Article 5(1)(d) of the GDPR, the controller must take all reasonable measures to ensure that inaccurate personal data is erased or rectified without delay, in relation to the purposes of processing.

(174) The Authority's position is that if during the newsletter sending Client1 notices that the newsletter sending was unsuccessful due to the unavailability of a certain email address, it must ensure the immediate deletion of both the previously subscribed individual's email address and the personal data processed by Client1 in connection with it.

(175) Based on the analysis of the database and Client1's statement, the Authority finds that contrary to Client1's statement, the data with "0" and "2" active field values in the referenced data table is still accessible in the database table named [...] which means that the data of the individuals marked as "inactive" with a "0" value and those related to bounced emails with a "2" value are all present in the database, with the email address stored for all of them, while the IP address at the time of subscription is also stored in the data table for all but 2 individuals.

(176) Based on the above, Client1 continues to process the personal data of individuals who have withdrawn their subscriptions, despite the withdrawal of their consent, thereby violating Article 17(1)(b) of the GDPR.

****IV. Legal Consequences****

(177) The Authority, considering that Client1 continues to process the personal data of the individuals who have withdrawn their subscriptions in its database despite the withdrawal of their consent—i.e., after their unsubscription—and also continues to process the personal data of those individuals for whom the newsletter delivery was unsuccessful, instructed Client1, based on Article 58(2)(d) of the GDPR, to permanently delete the personal data of those individuals stored in its database who have unsubscribed from the newsletter, as well as those for whom the newsletter delivery was unsuccessful.

(178) Based on Section 75/A of the Infotv., the Authority exercises its powers as set out in Articles 83(2)-(6) of the GDPR, taking into account the principle of proportionality, particularly by addressing the first-time violation of the regulations regarding the processing of personal data—defined in legislation or in mandatory legal acts of the European Union—primarily by warning the data controller or data processor in accordance with Article 58 of the GDPR.

(179) In this context, the Authority considered all circumstances of the case based on Article 83(2) of the General Data Protection Regulation and Section 75/A of the Infotv. Given the circumstances of the case and the nature of the data processing, the Authority determined that a warning is not a proportional sanction for the violation uncovered during this procedure; therefore, the Authority decided to impose a fine, taking into account Section 61(1)(a) of the Infotv. in accordance with Article 58(2)(i) of the General Data Protection Regulation.

(180) In terms of the necessity and amount of the fine, the Authority took into account that the last published net global market turnover (net sales revenue) of the Obligor, according to the public e-reporting registry, was 55,839,000 HUF in 2022 (for 2021: 44,647,000 HUF; for 2020: 13,874,000 HUF). The possible maximum fine, based on Article 83(5)(a) and (b) of the General Data Protection Regulation, is 20 million EUR.

(181) The Authority considered the contents of the European Data Protection Board's Guideline 4/2022 (hereinafter: Guideline) regarding the determination of the amount of the fine, which contains the calculation criteria for administrative fines under the General Data Protection Regulation. In this regard, the determination of the fine amount was based on the following criteria:

(i) Client1's revenue in HUF falls within the revenue bracket below 2 million euros.

(ii) According to the Guideline, for violations categorized under Article 83(5) of the General Data Protection Regulation—considered relatively low in severity—the static maximum fine ranges between 0 and 8,000 EUR (approximately 3,000,000 HUF).

(iii) The fine of 500,000 HUF determined for Client1 represents approximately 0.895% of the annual global market turnover (revenue).

(182) In determining the amount of the data protection fine, the Authority considered the following mitigating circumstances:

- (i) Client1 acted negligently regarding the established violation (Article 83(2)(b) of the GDPR).
- (ii) The Authority has not previously established a relevant data protection violation against Client1 (Article 83(2)(e) of the GDPR).

2 <https://e-beszamolo.im.gov.hu>

3 Guidelines 04/2022 on the calculation of administrative fines under the GDPR (Version 2.0.). Online: https://edpb.europa.eu/system/files/2023-06/edpb_guidelines_042022_calculationofadministrativefines_en.pdf

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(iii) The Authority considered the Client1's statement as a mitigating circumstance when determining the amount of the fine, indicating that it has ceased this method of market research—namely, sending postal inquiries based on data requests from the Ministry of the Interior (BM)—and will not apply it in the future. (Article 83(2)(f) of the GDPR)

(iv) The Authority exceeded the administrative deadline set forth in Section 60/A(1) of the Infotv. due to the difficulties in clarifying the facts of the case.

(183) In determining the amount of the data protection fine, the Authority took into account the following aggravating circumstances:

(i) The Client1 received a significant number of personal data of nearly 124,000 minors (name and address data) from the BM during the examined data processing period, specifically as a result of data requests submitted in 2020, 2021, and 2022 (Article 83(2)(a) of the GDPR);

(ii) The Client1's data processing targeted personal data of a relational type, specifically including the name and address data of minor children, as well as personal data related to newsletter sending, such as email address, IP address, ID, subscription URL, and other information collected about the data subjects (Article 83(2)(g) of the GDPR);

(iii) The illegality of the data processing allowed Client1 to gain greater profit, as Client1's activity involved advertising preparatory courses for central admission targeting the parents of minors about to continue their education. The lack of appropriate information placed the data subjects in a situation where they could not adequately understand and exercise their rights, thus increasing the risk of their inability to exercise their rights as data subjects (Article 83(2)(k) of the GDPR).

(184) In making the decision regarding legal consequences, the Authority did not consider the unspecified points of Article 83(2) of the General Data Protection Regulation relevant in this case.

(185) The amount of the data protection fine was determined by the Authority exercising its discretion based on legal provisions.

(186) Based on the criteria specified in this Section IV and all circumstances of the case, the Authority deemed the amount of the fine proportional from both specific and general prevention perspectives. This consideration does not bind the Authority in other cases; the legal consequence—highlighted in paragraphs 145-146 of the Guidelines—will be determined based on the individual circumstances in each case.

(187) Due to the large number of data subjects, the Authority publishes the decision with the identification data of Client1 and the names of the websites it operates.

V.

Other Issues:

(188) This decision is based on Sections 80-81 of the Ákr. The decision becomes final upon its communication according to Section 82(1) of the Ákr. According to Section 112 and Section 116(1), as well as Section 114(1) of the Ákr, there is a possibility for legal remedy against the decision through administrative litigation.

(189) The rules of administrative litigation are determined by Act I of 2017 on Administrative Litigation (hereinafter: Kp.). According to Section 12(1) of the Kp., administrative litigation against the Authority's decision falls under the jurisdiction of the court, and based on Section 13(3)(a)aa of the Kp., the Budapest Metropolitan Court is exclusively competent for the case. According to Section 27(1)(b) of

the Kp., legal representation is mandatory in cases falling under the jurisdiction of the court. According to Section 39(6) of the Kp., unless otherwise provided by law, the submission of the statement of claim does not have a suspensive effect on the enforcement of the administrative act.

(190) Section 29(1) of the Kp. and, in this regard, Section 604 of the Pp. stipulate that, according to Section 9(1)(b) of Act CCXXII of 2015 on Electronic Administration and Trust Services (hereinafter: E-ügyintézési tv.), the client's legal representative is obliged to maintain electronic communication.

(191) The time and place for submitting the statement of claim are determined by Section 39(1) of the Kp. Information regarding the possibility of requesting a hearing is based on Sections 77(1)-(2) of the Kp. The amount of the administrative litigation fee is determined by Section 45/A(1) of Act XCIII of 1990 on Fees (hereinafter: Itv.). The Itv. exempts the initiating party from the advance payment of the fee under Section 59(1) and Section 62(1)(h).

(192) According to Section 38(2) of the Infotv., the Authority's task is to monitor and promote the enforcement of the right to the protection of personal data, as well as the right to access public interest and publicly available data, and to facilitate the free flow of personal data within the European Union. According to the same paragraph (2a), the tasks and powers assigned to the supervisory authority in the General Data Protection Regulation are exercised by the Authority concerning entities under the jurisdiction of Hungary in accordance with the provisions of the General Data Protection Regulation and this law. The Authority's jurisdiction extends to the entire territory of Hungary.

Issued in Budapest, according to the electronic signature

In the absence of Dr. habil. Attila Péterfalvi, President:

Dr. Tamás Bendik

General Vice President